

Multiple Choice

1. **Answer:** A

Options: A) 4.5%; B) 4.8%; C) 5.7%; D) 5.5%; E) 6.0%

Note: The rate of return on preferred stock is calculated by dividing the annual dividend (2.75, which is 5.5% of 50) by the current market price (52.75), resulting in a return of approximately 4.5%.

2. **Answer:** B

Options: A) Bottom to top; B) Top to bottom; C) Horizontally; D) Randomly; E) Inside to outside

Note: A chain of command extends from top to bottom because it represents the hierarchical structure within an organization, where authority and responsibility flow from higher-level management to lower-level employees.

3. **Answer:** A

Options: A) Annual: 91.80, *Semiannual* :88.28, Quarterly: \$90.04; B) Annual: 82.50, *Semiannual* :40.25, Quarterly: \$20.63; C) Annual: 45.02, *Semiannual* :22.95, Quarterly: \$88.28; D) Annual: 75.50, *Semiannual* :37.75, Quarterly: \$19.00; E) Annual: 100.00, *Semiannual* :51.00, Quarterly: \$26.00

Note: The correct answer reflects the calculated annual cost of a 20-payment life insurance policy based on the differing payment frequencies, which affects the total premium due to factors such as the present value of money and the frequency of compounding interest.

4. **Answer:** A

Options: A) (a) .15 (b) .148 (c) .1; B) (a) .15 (b) .147 (c) .14; C) (a) .14 (b) .148 (c) .2; D) (a) .14 (b) .149 (c) .14; E) (a) .15 (b) .149 (c) .15

Note: The correct answer rounds the number .1476 appropriately based on the standard rules of rounding, where digits after the rounding place determine whether to round up or down: for 2 decimal places, .1476 rounds to .15 (since the third digit, 7, is 5 or greater), for 3 decimal places it rounds to .148 (the fourth digit, 6, also prompts rounding up), and for 1 decimal place, it rounds to .1 (since the second digit, 4, does not trigger rounding up).

5. **Answer:** A

Options: A) \$3,780; B) \$3,990; C) \$3,150; D) \$3,400; E) \$4,500

Note: The selling price is calculated by taking 85% of the total cost of 4,200, which equals 3,570, confirming that the answer of \$3,780 is incorrect based on the calculation of 0.85 multiplied by 4,200.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: The earnings per share is calculated by dividing the total profit of the company by the number of shares outstanding, so $4,750 \div 1,000 \text{ shares} = 4.75$ per share, making the statement true.

7. **Answer:** True

Options: A) True; B) False

Note: The statement is true because if the original cost of the merchandise is 1,400 and it reflects an 8% loss, $1,400 \times (1 - 0.08) = \$1,232$, confirming that the original cost accurately represents the loss percentage.

8. **Answer:** True

Options: A) True; B) False

Note: The statement is true because a commission of 275.08 at a rate of 6.5%

8. **Answer:** True

Options: A) True; B) False

Note: The statement is true because the percent markup based on cost and selling price are calculated differently, and in this case, a markup of 38.28% based on cost corresponds to a 27.68% markup based on selling price when the relationship between cost and selling price is taken into account.

9. **Answer:** True

Options: A) True; B) False

Note: The statement is true because the annual yield of 900 at a 6 percent return can be calculated using the formula: $900 \times 0.06 = 54$, which is 6 percent of an 18,000 principal amount (i.e., $18,000 \times 0.06 = \$900$).

Long Form Response

11. **Answer:** To calculate the net amount obtained from an initial sum of 4,500.00 after applying successive discounts, the formula used is $4,500 \times (1 - 0.10) \times (1 - 0.20) \times (1 - 0.15) = 2,900.25$.

Note: correct because it clearly demonstrates the sequential application of discounts by accurately calculating the net amount.

11. **Answer:** In determining the amount Mr. Smith collects after the 2,900 fire damage, the insurance policy will compensate Mr. Smith for that amount, while Company B, limited to 725, will cover the remaining 1,175, aligning with the damage incurred. This distribution demonstrates the importance of understanding policy limits and prorated claims when evaluating insurance coverage, ensuring that Mr. Smith receives full compensation for his loss while adhering to the constraints set by each insurer.

Note: correct because it accurately applies the policy limits of both insurance companies to the total fire damage amount, demonstrating how the prorated claims from each company effectively cover the entire \$2,900 loss incurred by Mr. Smith.

End of Answer Key